BEFORE THE NATIONAL COMPANY LAW TRIBUNAL,

PRINCIPAL BENCH

NEW DELHI

Company Petition No. (CAA)-41/PB/2018

Connected with

Company Application No.CA (CAA)149/PB/2017

Judgment dated: 08.04.2019

Coram:

CHIEF JUSTICE (Rtd.) SHRI M.M. KUMAR,

HON'BLE PRESIDENT

&

MS. DEEPTI MUKESH

MEMBER (JUDICIAL)

In the matter of:

Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016.

AND

IN THE MATTER OF SCHEME OF ARRANGEMENT

AMONGST

DLF SOUTH POINT LIMITED

..... Petitioner Company No. 1 / Transferor Company

DLF COMMERCIAL DEVELOPERS LIMITED

..... Petitioner Company No. 2 / Transferee Company/ Demerged Company

DLF INFO CITY HYDERABAD LIMITED

..... Petitioner Company No. 2/ Resulting Company

For the Applicants: Mr. Abhishek Nahta, CA & Mr Sameer Gupta, Advocate

ORDER

M.M. KUMAR, PRESIDENT

1. This Joint application has been filed by the Petitioner Companies under Sections 230 to 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016, for the purpose of the approval of the Scheme of Amalgamation. The copy of the Scheme has been placed on record.
2. A perusal of the petition discloses that initially the First Motion application seeking dispensation from convening the meeting of Shareholders and Creditors was filed before this Bench and based on such joint application

moved under Sections 230-232 of the Companies Act, 2013, this Tribunal vide its first motion order issued directions to dispense with convening the meetings of secured and unsecured creditors of the companies. On 21.05.2018 the Petitioners were directed to carry out publication in the newspapers English Daily 'Indian Express' (Delhi edition) as well as in Hindi Daily 'Jansatta' (Delhi edition). In addition thereto notices were directed to be served on the Regional Director (Northern Region), Registrar of Companies, NCT of Delhi and Haryana, Official Liquidator, the Income Tax Department and to the other relevant sectoral regulators.

3. It is seen from the records that the Petitioners have filed an affidavit dated 23.06.2018 affirming compliance of the order passed by the Tribunal dated 21.05.2018. A perusal of the affidavit discloses that the petitioners have effected the newspaper publication as directed in English Daily 'Indian Express' (Delhi Edition) as well as in Hindi Daily 'Jansatta' (Delhi Edition) on 06.07.2018 in relation to the date of hearing of the petition. Further, the affidavit also discloses that copies of petition were duly served on the Registrar of Companies, Regional Director, Northern Region and Income Tax Department, SEZ Authorities, Hyderabad, in compliance of the order and in proof of the same acknowledgement by the respective offices have also been placed on record.

4. The Regional Director has filed its representation dated 03.07.2018 and has observed that, firstly, an application under Section 232(1) of Companies Act, 2013 would only cover one arrangement at a time. Second observation is that the company should undertake to comply with Section 232(3)(i) of the Companies Act, 2013. Thirdly, the RD has stated that the companies should disclose specific facts about pendency of proceedings. Fourthly, it is observed that as per the auditor's report, there are five proceedings under the Income Tax Act,1961, which are pending before various authorities viz. ITAT and CIT (Appeal). No disclosure regarding this has been made. Fifth, four proceedings under Income Tax Act, 1961 and Finance act, 1994 were pending before Delhi High Court, ITAT and CIT. No disclosure regarding these have been made as well. Sixth, the companies to give an undertaking regarding compliance of section 230(2)(a) of the Companies Act, 2013.

5. In response of the aforesaid observations of the Regional Director, the petitioner companies filed their a rejoinder affidavit dated 20.07.2018 and submitted that firstly, the word 'Arrangement' used in Section 230-232 of Company Law, 2013 is an expression of wide import and may cover a composite Scheme having multiple arrangements within.

   Secondly, regarding compliance of section 232(3)(i), it is submitted that the companies have already paid maximum fee on the authorized fee capital. However, the companies still undertake to comply with provisions

of Section 232(3) (i) and has undertaken to pay any further fee, if required. Third, the companies have replied stating that they've made adequate disclosers and have complied with provisions of Section 230(2)(a) of the act. In the preamble of the Scheme and paragraph 67 of the Petition, the petitioner companies have categorically stated that there are no investigations or proceedings under Companies Act, 2013. As far as the cases mentioned by the Regional Director, the same have been filed by the petitioner Companies against the tax authorities.

6. The Official Liquidator has filed a report on 28.06.2018 wherein it has been stated that he has not received any complaint against the proposed Scheme from any person/ party interested in the scheme in any manner and that the affairs of the Applicant Companies do not appear to have been conducted in a manner prejudicial to the interest of its members, creditors or public interest.

7. It is pertinent to note that vide order dated 02.01.2019 it was noted that an affidavit dated 03.12.2018 was filed by the department. Clause 'c' of paragraph 36 showed that neither the transferee company nor the resulting company has any right title or interest in the specified properties shown in Schedule enclosed with the Scheme which belongs to DLF Assets Private Limited. It has also been pointed out that on the basis of order passed by the Delhi High Court that tax liability of huge amount

is likely to accrue against the Petitioner Companies. the Petitioner companies have filed a counter-affidavit dated 05.02.2019 to show the financial capacity of the Company to meet the tax liability or divulge any other means. In para 7 of the affidavit, the following undertaken has been given:-

"*In order to further allay the concerns of the Income Tax Department and to satisfy this Hon'ble Tribunal, the holding/ parent company i.e. DLF Home Developers Ltd. has also given a separate undertaking stating that if post sanction of the Scheme, the Demerged or Resulting Company fails to pay any tax liabilities due and payable in accordance with law then DLF Home Developers Ltd shall discharge those liabilities in accordance with law.*"

In view of the aforesaid affidavit, the interests of the revenue are protected and the undertaking shall be binding upon the deponent company.

8. In the joint petition it has also been affirmed that no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under provisions of Companies Act, 1956 are pending against the Petitioner Companies.

9. Certificates of respective Statutory auditors of both the petitioner companies have been placed on record to the effect that Accounting

Treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013.

10. In view of the foregoing, upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, and the affidavits filed by the Regional Director, Northern Region, Ministry of Corporate Affairs and the report of official liquidator, there appears to be no impediment in sanctioning the present Scheme. Consequently, sanction is hereby granted to the Scheme under Section 230 & 232 of the Companies Act, 2013. The Petitioners shall however remain bound to comply with the statutory requirements in accordance with law.

11. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

While approving the Scheme as above, we further clarify that this order should not be construed as an order in any granting exemption from payment of stamp duty, taxes including income tax, GST etc or any other charges, if any, and payment in accordance with law or in respect of any

permission/compliance with any other requirement which may be specifically required under any law.

12. **THIS TRIBUNAL DO FURTHER ORDER(S):**

(A) WITH RESPECT TO PETITIONER COMPANY NO.1 (TRANSFEROR COMPANY) AND PETITIONER COMPANY NO. 2 (TRANSFEREE COMPANY)

1. That the Transferor Company stands dissolved without being wound-up; and

2. That all the property, rights and powers of the Transferor Company, be transferred without further act or deed, to the Transferee Company and accordingly the same shall pursuant to Section 232 of the Act, be transferred to and vest in the Transferee Company for all the estate and interests of the Transferor Company therein but subject nevertheless to all charges now affecting the same; and

3. That all the liabilities and duties of the Transferor Company be transferred without further act or deed, to Transferee Company and accordingly the same shall, pursuant to Section 232 of the Act, be transferred to and become the liabilities and duties of the Transferee Company; and

4. That all proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company; and

5. That all the employees of the Transferor Company in service, if any, on the date immediately preceding the date on which the scheme takes effect, i.e. the effective date shall become the employees of the Transferee Company on such date without any break or interruption in service and upon terms and conditions not less favourable than those subsisting in concerned Transferor Company on the said date.

6. That Petitioner companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Company for registration and on such certified copy being so delivered the Transferor Company shall be dissolved and the Registrar of Company shall place all documents relating to the Transferor Company registered with him on the file kept by him in relation to the Transferee Company and the files relating to all the petitioner companies shall be consolidated accordingly.

(B) WITH RESPECT TO PETITIONER COMPANY NO.2 (TRANSFEREE/DEMERGED COMPANY) AND PETITIONER COMPANY NO. 3(RESULTING COMPANY)

1. That all the property, rights and powers of demerged company in respect of demerged undertaking, be transferred without further act or deed, to the Resulting company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013, be transferred to and vest in the Resulting company.

2. That all the liabilities and duties of demerged company in respect of demerged undertaking, be transferred without further act or deed, to the Resulting company and accordingly the same shall, pursuant to Section 232 of the Act, be transferred to and become the liabilities and duties of the transferee company; and

3. That all proceedings now pending by or against demerged company in respect of demerged undertaking, be continued by or against the Resulting company; and

4. That all the employees of demerged company in respect of demerged undertaking, on the date immediately preceding the date on which the scheme takes effect, i.e.

the effective date shall become the employees of the Resulting company on such date without any break or interruption in service and upon terms and condition not less favorable than those subsisting in demerged company on the said date.

5. That Petitioner companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Company for registration and on such certified copy being so delivered the Registrar of Company shall place all documents relating to the demerged company in respect of demerged undertaking registered with him on the file kept by him in relation to the transferee company; and

6. Any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

The petition stands disposed of in the above terms.

Sd/-

(M.M. KUMAR)
PRESIDENT

08.04.2019.

(vidya)

Sd/-

(DR. DEEPTI MUKESH)
MEMBER (J)